TRUSTMRR · 1,000 STARTUPS

Revenue is not the business. Recurrence is.

Why revenue model, not revenue size, decides what a startup is worth

1.9x

one-time revenue

3.8x

recurring revenue

A dollar that recurs is worth two dollars that don't

19%

of startups earn mostly one-time revenue

8x

gap in recurring revenue at matched size

+97%

valuation premium buyers pay for recurrence

Based on 784 companies with verified revenue and MRR, and 215 with a live asking price.

RECOMMENDATION

Underwrite the revenue model, not the revenue line.

THE QUESTION

Same revenue does not mean the same business

HYPOTHESIS

Revenue size does not determine what a startup is worth — revenue model does.

1. Does the split exist?
2. Does it change the asset?
3. Does the market pay for it?

Tested on 784 companies with verified revenue and MRR, and on 215 businesses with a live asking price and disclosed multiple.

THE DATASET

Recurring share = MRR ÷ revenue in the last 30 days

1,000	**784**	**380**	**215**
startups	with MRR and revenue	above $10k a year	listed for sale

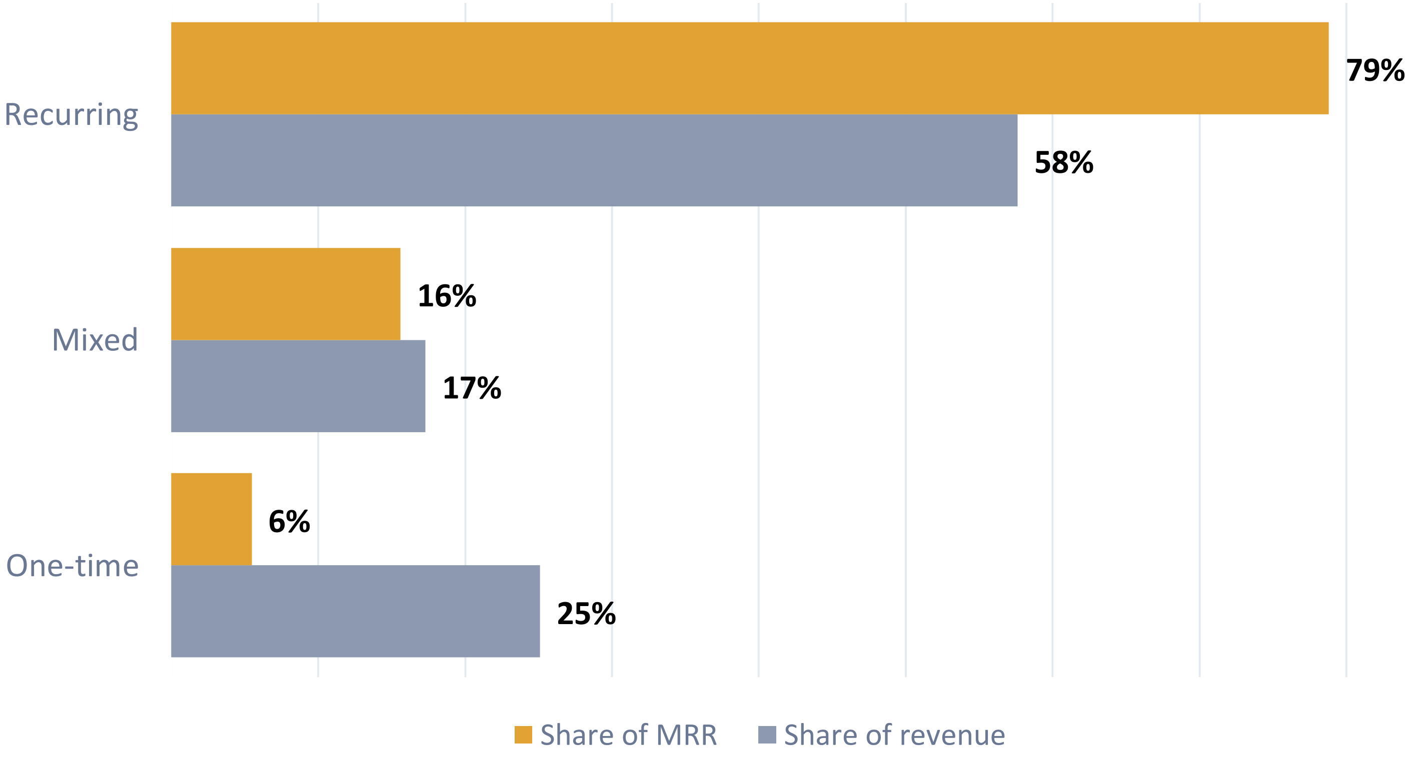
Under 50%	**50–90%**	**90%+**
one-time	mixed	recurring

Both figures cover the same 30-day window. Churn is not reported, so durability is inferred from volatility.

Source: TrustMRR 1,000-row dataset, frozen 30 July 2026.

FINDING 1

A quarter of the revenue. A twentieth of the recurring base.



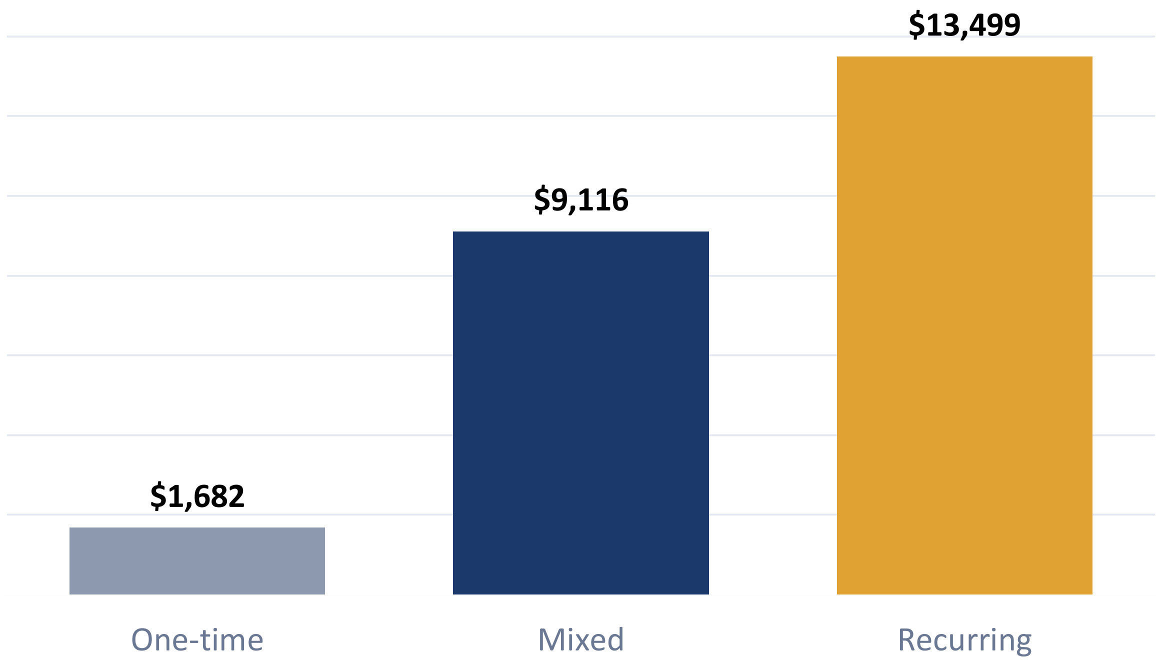
151 of 784

companies — 19% of the market — earn money that will not repeat by default

n = 784 companies with revenue in the last 30 days and reported MRR.

FINDING 2

Same revenue class. Eight times the recurring base.



Median MRR, companies above $10k a year (n = 380)

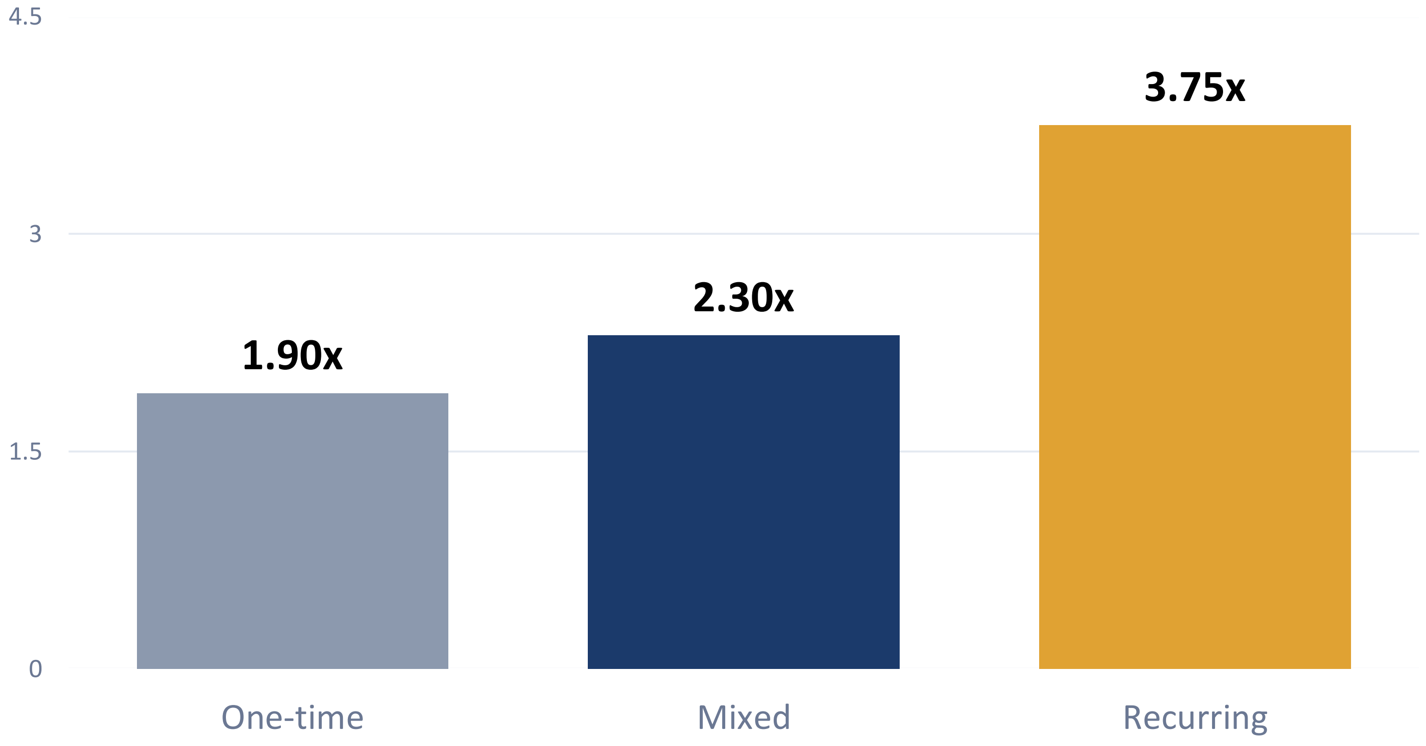
Two real companies

	Stack Influence	Cometly
Revenue	$10.5M	**$2.3M**
MRR	$25.7k	**$207.6k**
Recurring	3%	**94%**

Cometly earns 4.5x less revenue and carries 8x the recurring base.

FINDING 3

Buyers pay twice as much when the revenue recurs



Median asking price as a multiple of annual revenue (n = 215)

+97%

premium for recurrence

p = 0.007

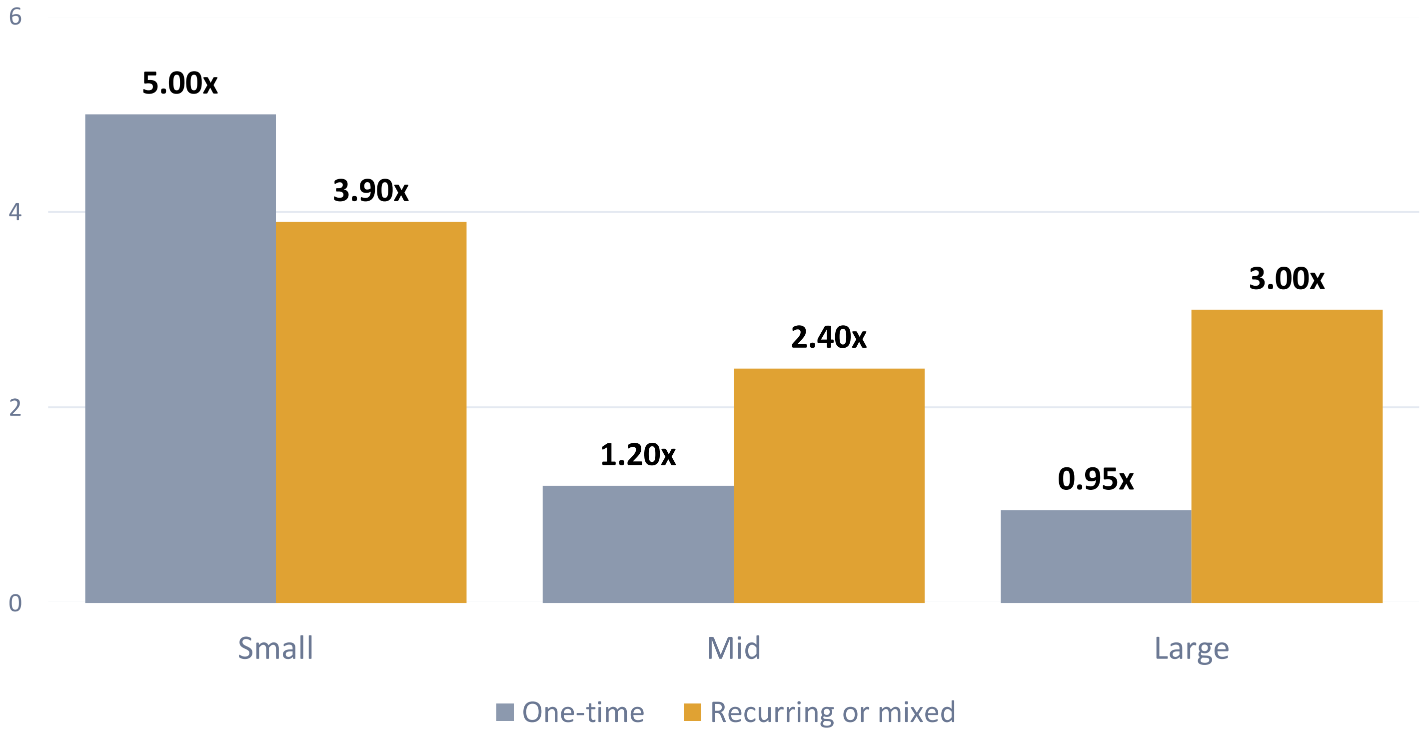
statistically significant

Holds after controlling for company size — partial correlation 0.26.

Mann–Whitney U test, one-time (n = 29) against recurring (n = 140).

FINDING 4

And the discount deepens as the business grows



Median revenue multiple by annual-revenue tercile (n = 215)

AT THE TOP END

0.95x

A large one-time business sells for less than one year of its own revenue.

Small n = 72, mid n = 71, large n = 72. The small-band reversal reflects 15 micro-listings where the multiple carries little meaning.

SUPPORTING EVIDENCE

Recurrence is a design choice, not a market condition

WHO YOU SELL TO

65%

of B2B is fully recurring, against 54% of B2C

HOW YOU PRICE

0.96 → 0.79

recurring share falls when lifetime deals are offered

HOW IT HOLDS UP

2x

more volatile month to month without a recurring base

All three are founder decisions — which means recurrence can be engineered.

Three readers, three different conclusions

A	**Investors**	Screen on recurring share before revenue size. Paying one multiple for both models destroys half the value on entry.
B	**Founders**	Revenue growth without recurrence is not progress. Converting revenue you already earn beats chasing revenue you don't.
C	**Acquirers**	Large one-time businesses list below 1x revenue. Buy, convert, and the same asset re-rates without a new customer.

THE RECOMMENDATION

Underwrite the revenue model, not the revenue line

01 **Re-rate**

Discount one-time revenue by 50% in every valuation.

02 **Convert**

Move repeat buyers onto contracts. Retire lifetime plans.

03 **Acquire**

Buy below 1x, convert, re-rate toward the recurring band.

2x

the exit multiple, on revenue already earned

What would change our mind: churn is not observable in this dataset.

THE TAKEAWAY

Revenue tells you about last year. Recurrence tells you there will be a next one.

The market pays twice as much for the second answer.